

MODEL QUESTION PAPER**Banking & Insurance**

[Time: 3 hours]

(Maximum marks: 75)

PART : A

Answer all questions. Each question carries one mark

(9 x 1 = 9 Marks)

1.	Banker's lien is	M 1.02	R
2.	State the meaning of Garnishee Order?	M 1.04	R
3.	What is letter of introduction ?	M 2.01	R
4.	Define endorsement?	M 2.05	R
5.	Expand KYC	M 3.01	R
6.	What is hypothecation?	M 3.02	R
7.	Explain the concept of core banking ?	M 3.01	R
8.	List out the parties involved in an insurance policy	M 4.01	R
9.	What is co-insurance?	M 4.03	R

PART: B

Answer any eight questions from the following. Each question carries 3 marks.

(8x3=24)

1.	"The relationship between a banker and a customer is primarily that of a debtor and creditor". Discuss?	M 1.02	U
2.	Distinguish between Ordinary commercial debt and debt due from a bank ?	M 1.02	U
3.	How to open an account in the name of minor	M 2.01	U
4.	Illustrate different types of fire insurance policies?	M 4.03	U
5.	Outline the steps should a banker take to close the account of an undesirable customer	M 2.02	U
6.	List out the requisites of a valid cheque	M 2.03	R
7.	Compare general and special crossing.	M 2.04	U
8.	Explain principles of insurance	M 4.02	U

9.	Explain the characteristics of a mortgage.	M 3.02	U
10.	Describe the features of SWIFT	M 3.01	U

PART: C

Answer any six questions from the following. Each question carries 7 marks.

(6x7=42)

III	Distinguish between 'general lien' and 'particular lien'. Can a banker claim lien on the following: a. A gold bar deposited for safe custody b. A Hundi deposited for safe custody till maturity and then for collection c. A cheque given for collection d. A stolen bond given for sale	M 1.02	A
OR			
IV	"A banker is required to observe strict secrecy in regard to his customer's account". Are there any exceptions to this rule.	M 1.03	U
V	X deposits some money in a bank. Later on, A comes and claims that it is his money stolen by X. Discuss the position of a banker with regard to that deposit?	M 2.01	A
OR			
VI	Discuss the formalities which a banker has to observe before opening a new account	M 2.02	U
VII	Explain the principles of sound lending	M 3.03	U
OR			
VIII	Identify the steps to be taken for availing a housing loan	M 3.02	A
IX	Write short note on: Stale cheque, ante-dated cheque, post-dated cheque, mutilated cheque, order cheque, and bearer cheque	M 2.01	U
OR			
X	Explain the advantages of ECS	M 2.05	U
XI.	Distinguish between life and general insurance	M 4.03	A
OR			
XII	Explain the different types of life insurance policies	M 4.04	U
XIII	What are the general principles that are to be followed by a banker while granting secured advances?	M 3.02	U
OR			
XIV	Outline different types of mortgages	M 3.02	U

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(9 x 1 = 9 Marks)

10.	Define lien?	M 1.02	R
11.	The right to combine, two or more accounts is called a right of	M 1.02	R
12.	Expand NEFT	M 3.01	R
13.	State the meaning of recurring deposit?	M 2.01	R
14.	State the meaning of endorsement?	M 2.05	R
15.	What is mobile banking?	M 3.01	R
16.	State the meaning of pledge?	M 3.03	R
17.	What is bill of lading?	M 4.03	R
18.	State the meaning of double insurance?	M 4.01	R

PART: B

Answer any eight questions from the following. Each question carries 3 marks.

(8x3=24)

1.	Discuss the relation between banker and customer as of agent and principal?	M 1.02	U
2.	Distinguish between Particular lien and general lien ?	M 1.03	U
3.	Outline the features of fixed deposit?	M 2.01	U
4.	Explain the term NRI	M 2.03	U
5.	Discuss the advantages of digital banking?	M 3.01	U
6.	Outline the features of EFT	M 3.01	R
7.	Explain principles of general insurance	M 4.02	U
8.	Illustrate types of marine insurance policy	M 4.03	U
9.	List out the Laws under which banker discloses the details of a	M 1.02	U

	customer's Account ?		
10.	What are the benefits of NRE Account?	M 2.01	U

PART: C

Answer any six questions from the following. Each question carries 7 marks.

(6x7=42)

III	State Banker's lien. What are the different types of lien?	M 1.02	A
OR			
IV	Write notes on: Banker's right of set off	M 1.03	U
V	What are the precautions should a banker taken in dealing with the following classes of customers: a) Minor b) Partnership firm	M 2.01	U
OR			
VI	Explain the risk which the banker runs in opening a current account without any introduction or reference	M 2.02	A
VII	Explain the types of loans and advances	M 3.02	U
OR			
VIII	Write a shortnote on : EFT, RTGS , SWIFT	M 3.01	A
IX	Describe the importance of special crossing	M 2.04	U
OR			
X	Explain any four types of endorsement	M 2.05	U
XI.	Distinguish between life and general insurance	M 4.01	A
OR			
XII	Explain the different types of fire insurance policies	M 4.03	U
XIII	Explain principle of indemnity	M 4.02	U
OR			
XIV	Explain the double insurance and re-insurance	M 4.01	U